

Guitar Evaluation Methodology — Shop Context Handoff

Purpose

This document explains how to conduct used guitar evaluations for a brick-and-mortar music shop owner in Denver, Colorado who buys and resells (flips) guitars. Read this before performing any guitar evaluation and follow the output format at the bottom of this document.

Who You Are Talking To

This is a **music shop owner**, not a private individual reseller. That distinction matters enormously for pricing. The shop:

- Allows customers to **play instruments before buying**
- Offers a **large variety of amps** to try guitars through
- Provides **in-person inspection** — no surprises, no "not as described"
- Offers **accountability and trust** that online strangers cannot
- Creates an **experience** — walking into a real shop has value
- Provides **instant gratification** — walk out with it today
- Has **expertise on staff** to answer questions and assist with setup

This is meaningfully different from a private party seller on Facebook Marketplace, and it commands a price premium. Factor this into shop sale price estimates.

Research Sources

Use all of the following when researching value:

1. **Reverb.com** — Search both active listings AND sold/completed sales. Sold prices are the ground truth. Active listings are aspirational and often never sell at asking.
2. **eBay completed/sold listings** — Filter by "Sold Items" only. This is non-negotiable. Active eBay listings are nearly meaningless for valuation.
3. **Guitar Center used** — GC used pricing shows what the largest retailer thinks it can get. Often on the high side but useful as a ceiling reference.
4. **Sweetwater Gear Exchange** — Good for condition-graded comps.
5. **Local market signals** — Denver/Colorado Facebook Marketplace and Craigslist listings give a sense of local supply and demand. A flooded local market = price pressure.

6. **Manufacturer specs and model history** — Always identify the exact model, year, and configuration (serial number lookup when needed) before pricing.
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The Critical Pricing Adjustment: Online Sold Prices Are NOT the Full Story

This is the most important concept in this methodology.

When a guitar sells on Reverb for \$400, the **buyer's true out-of-pocket cost** was NOT \$400. It was:

Component	Typical Cost
Sale price	\$400
Shipping (guitars are large/heavy)	+\$50-80
Sales tax (Reverb collects in most states)	+\$30-45
True buyer cost	\$480-525

What this means for shop pricing:

A private party local sale (no shipping, no tax, play before you buy) at **\$475** is actually *cheaper or equal* to that "\$400" Reverb sale in real terms. Buyers who understand this — and many do — recognize the value of a local cash deal.

Therefore:

- **Never anchor shop prices directly to online sold prices without adding back shipping and tax**
 - The effective "market rate" for a buyer is the sold price + \$80-100, minimum
 - A shop price that falls below that effective rate is a genuine bargain for the buyer
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Shop Premium Over Private Party

Beyond the shipping/tax adjustment, the shop commands an additional premium for:

- In-person playability testing
- Amp selection for auditioning
- Expert knowledge and setup confidence
- No risk of "not as described"

- Immediate availability

This is worth approximately **\$50–100** on most instruments in the \$300–800 range, scaling up for higher-value pieces. Do not ignore this when setting shop sale prices.

Flip Margin Math

When calculating buy prices for flipping, always work **backwards from the shop sale price** (not from online comps).

Formula:

$$\text{Max buy price} = \text{Shop sale price} \times (1 - \text{target margin})$$

Target Margin	Multiplier	Example: \$500 sale price
20%	$\times 0.80$	Buy at $\leq \$400$
30%	$\times 0.70$	Buy at $\leq \$350$
40%	$\times 0.60$	Buy at $\leq \$300$

Always present all three margin thresholds so the shop owner can decide based on how much they want in the instrument.

Standard Evaluation Output Format

Every guitar evaluation must follow this exact structure:

1. One-Sentence Summary

A single sentence identifying what the instrument is — brand, model, year/era, key feature, and finish.

2. Detailed Description

Two paragraphs covering:

- Body wood, neck wood, fretboard material
- Pickup configuration and electronics

- Hardware (tuners, bridge/tremolo type)
- Finish and color
- Notable features or era-specific characteristics
- What makes this model significant or not (market context)
- Condition observations based on photos

Use bullet points for specs within the paragraphs where helpful.

3. Things to Watch Out For

A bulleted list of known issues, weak points, or inspection flags specific to this model/era. Examples:

- Neck pocket fit (common on MIM Fenders of certain eras)
 - Fret wear (check photos carefully)
 - Headstock cracks (common on certain models)
 - Truss rod accessibility or known issues
 - Electronics issues (pots, switches)
 - Body wood issues (checking, binding separation)
 - Tuner slippage
 - Non-original parts (affects value)
 - Anything era-specific the buyer should physically inspect
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4. Private Party Value — Online (Reverb/eBay)

What this guitar would realistically **sell for** if a private individual listed it on Reverb or eBay. Based on completed/sold comps only. Present as a range with condition context.

Note: Remind the reader that buyers on these platforms pay an additional \$80-100 in shipping and tax on top of this price.

5. Shop Sale Price (Local — Denver)

What this shop should price it at for a local in-store sale. This accounts for:

- The shipping/tax adjustment (add back ~\$80-100 to online comps)
- The shop experience premium (~\$50-100)
- Denver market conditions and local supply/demand

Present as a range with a recommended sweet spot.

6. Flip Buy Price Targets

Working backwards from the shop sale price, present the maximum buy price at three margin targets:

Margin Target	Max Buy Price
20% margin	\$X
30% margin	\$X
40% margin	\$X

Include a brief recommendation on which target is most realistic given the instrument's liquidity and market competition.

General Notes

- Always look up serial numbers when visible to confirm year and origin
 - "Common" guitars (MIM Strats, Epiphone Les Pauls, etc.) have more price pressure due to supply — factor this in
 - "Rare" or discontinued colors/configurations command a premium — call it out
 - Condition is everything — be honest about what photos show
 - A Fender gig bag, case candy, or original case adds \$30–75 to value depending on condition
 - A hard case adds more value than a gig bag
 - Roasted/upgraded necks, locking tuners, or boutique pickups can add value IF the buyer values mods — but stock/original is often preferred by purists
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Document created for Denver music shop guitar flip evaluation workflow.